

The Business Case for Halal-Certified Chicken at KFC Germany

A Pilot-Screening and Break-Even Analysis

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Executive Summary

This report examines whether introducing halal-certified chicken at selected KFC restaurants in Germany could be commercially viable. Rather than assuming that a large Muslim population automatically translates into profitable demand, the analysis separates two questions: where a pilot would be most informative and how large the resulting sales increase would need to be for the additional revenue to cover the costs associated with halal conversion.

North Rhine-Westphalia (NRW) is the focus of the analysis because it contains the largest regional share of the Muslim population covered by the most comprehensive recent national estimate and also has a substantial KFC network. A dataset of 45 KFC restaurants across 32 NRW cities was combined with the best publicly available local evidence on Muslim population size or share. Because these demographic estimates differ considerably in age, methodology, and geographic detail, they were classified according to source quality rather than treated as directly comparable statistics.

The screening process identified Essen, Bielefeld, Cologne, and Bonn as the strongest candidate markets within the available evidence, representing eight KFC restaurants in total. The shortlist is intended as a candidate pool rather than a ranking of individual restaurants. In particular, city-level Muslim population estimates cannot be interpreted as branch-level demand forecasts.

The economic analysis uses KFC Germany's 2025 sales of EUR 429.6 million and its reported count of 217 restaurants to derive a sales-per-listed-restaurant benchmark of approximately EUR 1.98 million. This figure is used only as a common scale for the break-even analysis and should not be interpreted as the actual annual turnover of a typical or shortlisted KFC restaurant.

Neither the true incremental cost of halal conversion nor KFC's incremental contribution margin is publicly available. The report therefore evaluates several scenarios rather than imposing a single estimated value. Under an illustrative middle scenario of EUR 25,000 in additional annual halal-related cost per restaurant and a 40% incremental contribution margin, halal conversion would require an approximately 3.16% increase in sales to break even.

Across the eight-restaurant candidate pool, a 3% sales uplift would leave the pilot slightly below break-even under these assumptions, whereas a 5% uplift would produce a positive net incremental result of approximately EUR 117,000. These figures are sensitivity results rather

than forecasts of actual KFC performance.

The analysis therefore does not support an immediate nationwide rollout. It supports a controlled pilot designed to establish whether halal availability can generate a persistent incremental sales effect above the relevant break-even threshold. A subset of candidate restaurants could be converted while comparable restaurants remain unchanged, allowing changes in sales, transaction volume, average transaction value, operating costs, and other outcomes to be evaluated before and after implementation.

The central conclusion is that halal-certified chicken in Germany should be treated as a testable commercial proposition rather than as an assumption about consumer behaviour. KFC's experience elsewhere in Europe shows that halal-certified restaurant operations are feasible. What remains unknown is whether the German sales response would be large enough to exceed the additional cost. A carefully designed pilot would provide the evidence required to answer that question.

1 Introduction

Whether halal-certified chicken could be commercially viable for KFC in Germany is not simply a question of how many Muslim consumers live in the country. The relevant business case depends on whether halal certification would generate enough additional demand to compensate for the costs associated with sourcing, certification, operational adjustments, and any other changes required at restaurant level. A large potential customer base may make such a strategy attractive, but market size alone does not establish profitability.

The question is economically relevant because both sides of the market are substantial. KFC operated 217 restaurants in Germany and generated approximately EUR 429.6 million in sales in 2025 (Bundesverband der Systemgastronomie 2026). At the same time, the most comprehensive recent estimate by the Federal Office for Migration and Refugees (BAMF) placed the Muslim population with a migration background from predominantly Muslim countries at between 5.3 and 5.6 million in 2019, corresponding to approximately 6.4–6.7% of the German population (Pfündel et al. 2021). The population is also geographically concentrated. According to the same research programme, approximately 31.8% of the Muslim population covered by the estimate lived in North Rhine-Westphalia (Bundesamt für Migration und Flüchtlinge 2021). This makes NRW a particularly relevant region in which to examine the potential for a targeted rather than nationwide introduction.

These figures nevertheless leave an important gap. They indicate that a potentially significant market exists, but they do not reveal how consumers would respond if selected KFC restaurants began offering halal-certified chicken. Some consumers who currently avoid KFC might become customers, while existing customers could increase their purchase frequency. At the same time, the change could increase procurement and certification costs or require operational adjustments within individual restaurants. The commercial outcome therefore depends on the size of the incremental sales response relative to the incremental cost of serving the halal market.

This report approaches the problem in two stages. First, it identifies locations in NRW where a halal pilot appears most plausible on demographic grounds. The analysis combines the locations of 45 KFC restaurants across 32 cities with the best available local evidence on Muslim

population size or share. Because the quality and geographic detail of these demographic sources vary considerably across municipalities, the analysis does not treat all estimates as equally precise.

Second, the report examines the economic conditions under which conversion could become profitable. Publicly available information does not provide restaurant-level KFC sales, the actual incremental cost of halal conversion, or the sales response that such a change would generate in Germany. Rather than replacing these unknown quantities with a single unsupported estimate, the analysis uses a transparent break-even and sensitivity framework. KFC Germany’s reported network sales and restaurant count are used to construct a common scaling benchmark, while alternative assumptions are applied to halal-related costs, incremental contribution margins, and potential sales increases.

The central research question is therefore:

Under what conditions could the introduction of halal-certified chicken at selected KFC restaurants in Germany be profitable, and which locations would provide the strongest candidates for an initial pilot?

The purpose of the analysis is not to claim that halal conversion would necessarily increase KFC’s profits. Instead, it identifies the sales uplift required for the strategy to break even under different cost and margin assumptions and uses local demographic evidence to identify locations where testing that proposition would be most informative. In this sense, the report treats a limited pilot as an empirical business experiment rather than assuming in advance that either a nationwide rollout or the status quo is optimal.

2 KFC Germany and the Halal Operating Context

KFC’s German network expanded between 2024 and 2025. In 2024, the German business reported approximately EUR 402 million in sales across 206 restaurants (Bundesverband der Systemgastronomie 2025). By 2025, reported sales had increased to EUR 429.6 million across 217 restaurants (Bundesverband der Systemgastronomie 2026). The reported restaurant count therefore increased by eleven over the period. A potential halal pilot would consequently take place within a sizeable and growing national network rather than as an isolated operating experiment.

Halal, however, is not currently presented as a standard feature of KFC’s German restaurant network. The public restaurant finder allows customers to filter locations by characteristics such as delivery, Click & Collect, and Drive Thru, but it does not provide a halal-status filter (KFC Deutschland 2026). This does not establish the halal status of every individual restaurant, but it does indicate that halal availability is not currently communicated to German customers as a systematic part of the national offer.

The situation elsewhere in KFC’s European network is informative because it demonstrates that halal service can be introduced selectively. Since August 2026, KFC Netherlands has offered halal-certified chicken in selected restaurants. According to KFC Netherlands, the programme relies on specific supply chains established with European chicken suppliers, with certification carried out by an independent certification body. In participating restaurants, pork bacon has also been replaced by halal-certified chicken bacon (KFC Nederland 2026). The Dutch model is therefore restaurant-specific rather than a compulsory conversion of the entire national network.

The early commercial signal from that rollout is particularly relevant. In its September 2026 annual general meeting presentation, Collins Foods reported that the halal-certified range had recently been introduced in several Dutch restaurants and was showing a “significant positive impact” (Collins Foods Limited 2026). The statement is encouraging, but it needs to be interpreted carefully. Collins Foods did not disclose the size of the sales increase, the incremental costs associated with the change, or the characteristics of the restaurants in which the effect was observed. The Dutch experience therefore indicates that customer response can be commercially meaningful, but it does not provide an effect size that can simply be transferred to Germany.

There is also evidence that halal supply can operate within KFC’s broader European sourcing requirements. KFC Western Europe’s poultry policy applies common supplier and animal-welfare standards across its regional supply chain. Suppliers are subject to pre-supply and subsequent audits, and the policy requires poultry to be pre-stunned before slaughter, explicitly including halal chicken (KFC Western Europe 2022). This suggests that halal-certified supply does not necessarily require KFC to abandon its established European animal-welfare framework.

What the public evidence does not reveal is equally important. KFC does not publish the current procurement price paid for chicken in Germany, the price of a comparable halal-certified supply contract, or the full restaurant-level cost of introducing halal service. Certification fees alone would not capture the entire commercial effect. Supply-chain arrangements, product segregation, menu changes, training, auditing, logistics, and possible differences in ingredient costs could all matter.

For this reason, the analysis does not assume that the Dutch model can be reproduced in Germany at a known cost. The cost side is instead treated explicitly as an uncertainty and examined later through alternative scenarios.

Taken together, the European evidence changes the nature of the question. The practical issue is no longer whether KFC can, in principle, operate halal-certified restaurants: its European network already provides examples of such operations. The more relevant question for Germany is whether selected locations could generate enough additional demand for the incremental revenue to exceed the incremental cost.

3 Muslim Consumer Market and Geographic Concentration

The size of Germany’s Muslim population provides only a first indication of the potential market for halal food. What matters more directly for a restaurant business is whether religious dietary rules influence food choices. On this point, the BAMF survey provides useful evidence. Among Muslim respondents aged 16 and above, 69.5% reported that they observed religious rules concerning food and drink, while a further 12.8% stated that they followed them partially (Pfündel et al. 2021). Taken together, slightly more than four out of five respondents reported at least some adherence to religious dietary rules.

This result makes halal availability commercially relevant, but it should not be interpreted as a direct estimate of demand for KFC. Observing religious dietary rules does not imply that every respondent purchases fast food, eats chicken, or would choose KFC if halal-certified products became available. Nor would it be appropriate to multiply the survey percentage mechanically by the estimated Muslim population and label the result as a pool of potential customers. The

survey establishes a more limited but important point: food-related religious requirements affect consumption decisions for a substantial share of Muslim consumers and can therefore influence restaurant choice.

Geography is equally important. The Muslim population covered by the BAMF study is not distributed uniformly across Germany. NRW accounted for approximately 31.8%, followed by Baden-Württemberg with 17.1%, Bavaria with 11.7%, and Hesse with 11.3% (Bundesamt für Migration und Flüchtlinge 2021). The concentration in NRW makes the state particularly relevant for a targeted pilot.

The difficulty is that national and state-level estimates are too broad for restaurant selection. A KFC branch competes for customers within a local catchment area, while demographic composition can vary substantially across neighbourhoods within the same city. Religion is also not recorded consistently in municipal population registers, which means that local authorities use different methods to describe Muslim populations.

Bonn illustrates both the value and the limitation of local data. The city’s statistical office publishes an estimate of the population associated with an Islamic religious community for each statistical district. For Zentrum-Münsterviertel, the district containing the Bonn KFC used in this analysis, the estimate for 31 December 2025 is 337 people out of a total population of 3,263, or 10.3% (Bundesstadt Bonn, Statistikstelle 2026).

This is more useful for location analysis than a city-wide figure because it refers to the statistical district containing the restaurant. Nevertheless, the figure remains an estimate rather than a direct religious-registration count. Bonn’s methodology relies on information relating to residents connected to Organisation of Islamic Cooperation countries while excluding individuals registered as belonging to another recorded religious community (Bundesstadt Bonn, Statistikstelle 2026). The resulting figure should therefore be treated as a municipal estimate rather than an exact count of Muslim residents.

Other cities provide less geographically precise evidence. In Bielefeld, municipal council documents from 2024 refer to approximately 50,000 Muslim residents (Stadt Bielefeld 2024). Relative to Bielefeld’s registered population of 343,507 at the end of 2025, this corresponds to a rough share of approximately 14.6% (Stadt Bielefeld 2026). The comparison is useful for screening purposes, but it is not a same-year statistical estimate.

A similar issue arises in Cologne. Public reporting in 2024 referred to approximately 120,000 Muslim residents, while official city statistics recorded 1,092,607 residents with a principal residence at the end of 2025 (Niederschlag 2024; Stadt Köln 2026). Combining the two figures gives an approximate share of 11.0%. Again, this should be understood as a screening indicator rather than a precise demographic statistic.

Essen provides another example of why methodology matters. A local report on religious diversity estimated that 15.1% of the population had a Muslim background. The report explicitly notes that the figure is not a directly observed religious statistic. It is based on the religious composition of countries of origin and is intended as a broad estimate (RAA Verein NRW e.V. 2020). Treating this value as equivalent in precision to Bonn’s district-level municipal estimate would therefore be misleading.

These differences make source quality central to the pilot-screening exercise. The objective

is not to force every city into a single comparable Muslim-population measure, but to use the strongest available evidence while keeping differences in methodology, timing, and geographic scope visible.

4 Data and Pilot-Screening Methodology

The empirical analysis was built around the location of KFC restaurants in NRW and the quality of locally available demographic evidence. The objective was not to construct a precise estimate of Muslim demand for every restaurant, which the available data do not support, but to identify locations where a halal pilot would be commercially and empirically informative.

The starting point was a restaurant-level dataset containing 45 KFC locations across 32 cities in NRW, compiled from KFC Germany’s restaurant information (KFC Deutschland 2026). For each restaurant, the dataset records the city, address, operating entity, geographic coordinates, and a stable store identifier. Restaurant addresses were geocoded before being used in the spatial analysis. One location initially identified as belonging to NRW was excluded after verification showed that it was located in Brühl, Baden-Württemberg rather than North Rhine-Westphalia. The final dataset therefore contains 45 unique NRW restaurants.

The demographic screening proceeded in two stages. First, each of the 32 cities was reviewed for the strongest publicly available evidence on Muslim population size or share. The search prioritised official municipal statistics, local-government documents, and other institutional sources. Where no recent direct estimate was available, older or indirect estimates were retained only when their methodology could be identified sufficiently clearly. Cities for which no reliable Muslim-specific benchmark could be found were not assigned an inferred Muslim share using nationality or migration-background data.

Second, the resulting evidence was classified according to its strength. Class A was reserved for recent Muslim-specific municipal estimates available at a sufficiently local geographic level. Class B included Muslim-specific estimates that were usable for screening but were city-wide, historical, indirect, or otherwise less precise. Class C contained cities for which the available public information did not support a numerical Muslim-specific benchmark without introducing additional assumptions.

The audit produced one Class A city, 18 Class B cities, and 13 Class C cities. The classification was not designed as a mechanical score. Its purpose was to ensure that a large but weakly measured estimate was not automatically treated as more informative than a smaller but more geographically relevant one. Class C likewise does not imply a small Muslim population; it indicates insufficient public evidence for a defensible numerical benchmark.

Bonn provided the strongest example of a spatially matched local estimate. The KFC at Maximiliancenter, Poststrasse 2 was converted into a geographic point and matched to Bonn’s official statistical-district polygons using a point-in-polygon spatial join. The restaurant falls within statistical district 111, Zentrum-Münsterviertel. The corresponding municipal estimate for 31 December 2025 indicates 337 people associated with an Islamic religious community out of a total district population of 3,263, equivalent to 10.3% (Bundesstadt Bonn, Statistikstelle 2026).

For other cities, the geographic resolution was generally weaker. Bielefeld and Cologne provide city-level Muslim estimates rather than neighbourhood-level values. Their approximate shares

were therefore derived only for screening purposes by dividing the available Muslim population estimate by an official city population denominator. Essen’s 15.1% figure was retained as reported by the source because it was already presented as an origin-based estimate rather than a direct municipal count (RAA Verein NRW e.V. 2020).

After the evidence had been assembled, the screening focused on recent and comparatively informative benchmarks. Four cities emerged as the strongest candidates within the available data: Essen, Bielefeld, Cologne, and Bonn. These cities contain eight KFC restaurants in total: one in Essen, two in Bielefeld, four in Cologne, and one in Bonn.

The shortlist is therefore a screening outcome rather than a causal ranking. City-level Muslim shares are not interpreted as branch-level demand forecasts, and multiple restaurants within the same city are not ranked against one another using the same city-wide demographic information. This distinction is particularly important for Cologne and Bielefeld.

The resulting eight-restaurant shortlist forms the candidate pool used in the economic analysis that follows. It identifies locations where the combination of demographic relevance and available evidence makes a pilot more informative than a random selection from the national network.

5 Pilot Candidates and Demographic Results

The screening procedure narrowed the initial set of 45 NRW restaurants to eight branches located in four cities. Table 1 summarises the demographic evidence behind the shortlist.

Table 1: Demographic profile of shortlisted pilot markets

City	KFC branches	Benchmark year	Muslim estimate	Share (%)	Evidence strength
Essen	1	2019	–	15.1	Medium
Bielefeld	2	2024	50,000	14.6	Medium-high
Cologne	4	2024	120,000	11.0	Medium-high
Bonn	1	2025	337	10.3	High

Note: The figures are not directly comparable measures of branch-level demand. Bonn refers to statistical district 111, Zentrum-Münsterviertel. The Bielefeld and Cologne shares are derived using city-level Muslim estimates and later official population denominators. Essen is based on an indirect origin-based estimate.

At first sight, Essen appears to offer the largest potential market because its estimated Muslim share is the highest among the four shortlisted cities. That interpretation would, however, overstate the precision of the comparison. The Essen figure is an indirect estimate based on country-of-origin information rather than a direct local religious count (RAA Verein NRW e.V. 2020). It is useful for market screening, but it is not measured in the same way as the Bonn figure.

Bielefeld combines a relatively high estimated Muslim share with more recent evidence. Municipal documents refer to approximately 50,000 Muslim residents in 2024 (Stadt Bielefeld 2024). Using the city’s registered population at the end of 2025 gives a rough share of approximately 14.6%. The city also contains two KFC restaurants, which could be useful for pilot design because one location could potentially be treated while another remains unchanged, subject to their commercial comparability.

Cologne offers a different advantage. Its approximate Muslim share is somewhat lower, at

11.0%, but the absolute population estimate is considerably larger. Public reporting referred to around 120,000 Muslim residents in 2024 (Niederschlag 2024), and the city contains four KFC restaurants in the NRW dataset. This provides greater flexibility for constructing treatment and comparison groups.

Bonn has the lowest estimated share among the four shortlisted markets, but the strongest local demographic evidence. The relevant 10.3% estimate refers specifically to the statistical district containing the KFC restaurant rather than to the city as a whole (Bundesstadt Bonn, Statistikstelle 2026). Bonn should therefore not be interpreted simply as the weakest candidate because its percentage is lower. It is the location for which the demographic match between the restaurant and the surrounding statistical area is most directly supported by the available data.

The eight shortlisted branches are shown in Table 2. They are not ranked internally because the available demographic evidence does not support precise branch-level comparisons within Bielefeld or Cologne.

Table 2: KFC branches included in the pilot candidate pool

Store ID	City	Location
NRW017	Essen	Bottroper Str. 130
NRW003	Bielefeld	Bahnhofstr. 28
NRW004	Bielefeld	Eckendorfer Str. 20
NRW028	Cologne	Köln Hauptbahnhof
NRW029	Cologne	Frankfurter Str. 751
NRW030	Cologne	Rudolfplatz 12
NRW031	Cologne	Dürener Str. 421
NRW007	Bonn	Maximiliancenter, Poststrasse 2

The branch list should therefore be understood as a candidate pool rather than a recommendation to convert all eight restaurants simultaneously. Demographic screening helps identify where a pilot appears plausible, but it does not reveal which branch would generate the strongest causal response to halal availability. Existing sales, delivery intensity, nearby competitors, customer traffic, restaurant format, and operating capacity may differ substantially across locations and are not publicly observable in the present dataset.

The demographic results therefore narrow the decision problem rather than resolve it. The next question is economic: how large would the additional sales response need to be for halal conversion to cover its incremental cost?

6 Economic Framework and Break-Even Analysis

The demographic analysis identifies where a halal pilot may be worth testing, but it does not determine whether conversion would be profitable. Profitability depends on whether the additional contribution generated by new sales would be large enough to cover the additional cost of operating a halal-certified offer.

A branch-level profitability calculation would ideally use each restaurant’s actual annual sales, food cost, labour structure, delivery mix, and expected halal-related operating cost. These data are not publicly available. The analysis therefore uses KFC Germany’s national performance as a common benchmark rather than treating individual restaurant economics as observed.

KFC Germany reported approximately EUR 429.6 million in sales and 217 restaurants in 2025 (Bundesverband der Systemgastronomie 2026). Dividing reported network sales by the reported restaurant count gives a sales-per-listed-restaurant benchmark of

$$\bar{R} = \frac{429.6 \text{ million}}{217} \approx 1.98 \text{ million EUR.} \quad (1)$$

This value should not be interpreted as the actual annual turnover of a typical KFC restaurant or of any restaurant in the pilot shortlist. The reported restaurant count does not reveal how long each location operated during 2025, and individual branches may differ substantially in sales volume. The EUR 1.98 million figure is therefore used only as a transparent scaling benchmark for the break-even analysis.

Let R denote annual restaurant sales, g the proportional increase in sales generated by halal conversion, m the incremental contribution margin on those additional sales, and C_H the additional annual cost associated with the halal offer. Incremental profit can then be written as

$$\Delta\Pi = Rgm - C_H. \quad (2)$$

The conversion breaks even when incremental profit is zero:

$$Rgm = C_H. \quad (3)$$

Solving for the required sales increase gives

$$g^{BE} = \frac{C_H}{Rm}, \quad (4)$$

where g^{BE} is the minimum proportional sales uplift required for the halal offer to cover its additional cost.

The two most uncertain elements are C_H and m . Public information does not reveal the full annual cost of converting a German KFC restaurant to halal-certified chicken, nor the contribution margin KFC would earn on incremental sales. Rather than assigning either variable a falsely precise value, the analysis evaluates a range of assumptions.

Annual halal-related costs are set at EUR 10,000, EUR 25,000, and EUR 50,000 per restaurant, while incremental contribution margins are varied between 30%, 40%, and 50%.

Table 3 reports the resulting break-even sales uplifts.

Table 3: Required sales uplift under alternative assumptions				
Annual halal cost (EUR)	30% margin	40% margin	50% margin	
10,000	1.68%	1.26%	1.01%	
25,000	4.21%	3.16%	2.53%	
50,000	8.42%	6.31%	5.05%	

Note: Halal-related costs and contribution margins are sensitivity assumptions, not observed KFC values. Break-even percentages are derived using the 2025 sales-per-listed-restaurant benchmark.

The table shows how strongly the commercial case depends on operating economics. If additional annual cost were EUR 10,000 per restaurant and the incremental contribution margin were 50%, a sales uplift of approximately 1.0% would be sufficient to break even. At the opposite

end of the sensitivity range, a EUR 50,000 annual cost combined with a 30% margin would require an increase of approximately 8.4%.

For interpretation, the analysis uses a middle scenario of EUR 25,000 in additional annual cost per restaurant and a 40% incremental contribution margin. These values are not estimates of KFC’s actual costs or margins. They are illustrative assumptions chosen from the centre of the sensitivity ranges.

Under these assumptions,

$$g^{BE} = \frac{25,000}{1,979,724 \times 0.40} \approx 0.0316, \quad (5)$$

or approximately

$$\boxed{3.16\%}. \quad (6)$$

This threshold is more informative than a general statement that the Muslim consumer market is large. Under the baseline assumptions, the relevant question is whether halal availability could generate slightly more than a 3% incremental increase in restaurant sales.

The same framework can be applied to the full eight-restaurant candidate pool. Applying the same sales-per-listed-restaurant benchmark to eight restaurants implies a notional baseline of approximately EUR 15.84 million in annual sales. Under the same illustrative assumptions, applying an additional annual cost of EUR 25,000 to each of the eight locations would imply EUR 200,000 in notional halal-related costs.

Table 4 reports the corresponding sensitivity results.

Table 4: Notional eight-restaurant sensitivity under the middle cost and margin scenario

Sales uplift	Incremental revenue (EUR)	Incremental contribution (EUR)	Halal cost (EUR)	Net result (EUR)
1%	158,378	63,351	200,000	-136,649
3%	475,134	190,053	200,000	-9,947
5%	791,889	316,756	200,000	116,756
10%	1,583,779	633,512	200,000	433,512

Note: Calculations assume EUR 25,000 in additional annual halal-related cost per restaurant and a 40% incremental contribution margin. Results are conditional scenarios, not forecasts.

The transition around the break-even point is clear. A 3% sales increase would leave the eight-restaurant scenario slightly below break-even, with an annual shortfall of approximately EUR 10,000. A 5% increase, by contrast, would produce a positive net incremental result of approximately EUR 117,000. At a 10% uplift, the implied gain would exceed EUR 430,000.

These figures are not forecasts. The analysis does not establish that halal conversion would raise sales by 5%, nor that the additional annual cost would be EUR 25,000. Their value lies in identifying the magnitude of the commercial response required for the strategy to make economic sense.

This distinction is important when interpreting the evidence from the Netherlands. Collins Foods’ description of a “significant positive impact” from halal-certified products suggests that a meaningful customer response is possible (Collins Foods Limited 2026), but the company has not disclosed an effect size that can be compared directly with the 3.16% threshold calculated here.

The German business case therefore remains an empirical question. Under the middle scenario used in this report, an incremental sales effect of roughly three to four percent would be required. Whether such an effect is achievable is precisely what a controlled pilot should be designed to measure.

7 Pilot Design and Empirical Evaluation

The break-even analysis identifies the commercial threshold that a halal offer would need to exceed, but it cannot determine the actual sales response. That effect can only be learned from observed restaurant performance after implementation. The most appropriate next step would therefore be a limited pilot rather than an immediate network-wide rollout.

The eight restaurants identified in the demographic screening should be interpreted as a candidate pool rather than as a recommendation to convert all eight simultaneously. A stronger pilot design would convert only a subset of these restaurants while keeping comparable KFC locations unchanged over the same period. The untreated restaurants would provide a benchmark against which changes at halal locations could be evaluated.

A practical design could select treatment restaurants from the shortlisted markets in Bonn, Bielefeld, Cologne, and Essen. Where several KFC branches operate within the same city, as in Cologne and Bielefeld, one or more locations could remain non-halal during the initial test period. Restaurants within the same city may share local economic conditions, advertising exposure, weather, holidays, and broader demand changes, which can make them attractive comparison candidates.

At the same time, same-city comparisons create a potential spillover problem. If customers switch from a non-halal KFC restaurant to a nearby halal KFC restaurant after the pilot begins, sales at the comparison restaurant could fall even if total KFC demand in the city does not change. This would bias the estimated treatment effect upward. KFC should therefore examine geographic overlap, customer substitution, and delivery catchments before using nearby restaurants as controls. In some cases, a commercially similar restaurant in another city may provide a cleaner comparison than a neighbouring branch. Beyond geographic separation, the comparison group should resemble the treatment restaurants as closely as possible in pre-pilot sales levels, sales trends, restaurant format, delivery intensity, opening hours, local competition, and customer traffic. Geographic proximity alone is therefore not sufficient to identify an appropriate comparison restaurant.

The primary commercial outcome should be restaurant sales. Sales should also be decomposed into transaction volume and average transaction value:

$$\text{Sales} = \text{Number of transactions} \times \text{Average transaction value.} \quad (7)$$

This decomposition would help distinguish between different mechanisms. A rise in transaction volume would be consistent with attracting additional customers. An increase in average transaction value without a similar increase in transactions could instead indicate larger orders or a change in product mix.

Other operational outcomes would also matter. At a minimum, KFC should record the

incremental procurement cost of halal-certified chicken, certification and audit expenses, training costs, any additional logistics or segregation requirements, waste rates, and product availability. Delivery orders should ideally be identified separately from in-store transactions because their customer base and geographic catchment may differ.

The evaluation should use restaurant-level data from both before and after introduction. A simple before-and-after comparison at treatment restaurants would be insufficient because sales could change for reasons unrelated to halal certification. Seasonal demand, promotions, menu changes, inflation, local events, or changes in opening hours could all affect performance during the same period.

A more informative approach would compare the change at treatment restaurants with the contemporaneous change at comparable untreated restaurants. In its simplest form, the effect can be represented using a difference-in-differences structure:

$$\hat{\delta} = (\bar{Y}_{T,\text{post}} - \bar{Y}_{T,\text{pre}}) - (\bar{Y}_{C,\text{post}} - \bar{Y}_{C,\text{pre}}), \quad (8)$$

where Y denotes the outcome of interest, T refers to treatment restaurants, C to comparison restaurants, and the pre- and post-periods refer to observations before and after halal conversion.

Suppose sales at a halal pilot restaurant rose by 6% after conversion while sales at a comparable untreated KFC rose by 2% over the same period. The estimated incremental effect associated with the pilot would be approximately four percentage points rather than the full 6%. The break-even calculation concerns this incremental effect, not sales growth that would have occurred anyway.

For a difference-in-differences interpretation to be credible, treatment and comparison restaurants should also display reasonably similar sales trends before the pilot begins. If the two groups were already moving differently prior to halal introduction, a post-pilot gap could reflect those pre-existing trends rather than the effect of halal conversion itself. Pre-pilot sales data should therefore be examined explicitly before the treatment effect is interpreted causally.

Because an initial pilot would likely involve only a small number of restaurants, statistical inference may also be imprecise. The evaluation should therefore report effect sizes and uncertainty intervals rather than relying only on whether an estimated effect is statistically significant.

The pilot should also run long enough to distinguish a persistent demand effect from an initial novelty response. A sharp increase immediately after launch may reflect publicity or customers trying the offer for the first time. For the business case, what matters is whether the increase persists after the initial introduction.

The main decision statistic would be the estimated percentage increase in sales attributable to halal conversion. This estimate can then be compared with the break-even thresholds developed in Section 6. Under the illustrative middle scenario, a persistent incremental uplift above approximately 3.16% would place the pilot above the model's break-even threshold. An effect materially below that value would weaken the business case under the same cost and margin assumptions.

This should not be reduced to a single mechanical rule. If the estimated effect were close to the threshold, uncertainty around both the treatment effect and the true halal-related cost would remain important. KFC could then extend the pilot, renegotiate supply arrangements, test different restaurant formats, or focus future expansion on locations where the response appears

strongest.

The value of the pilot is therefore not limited to determining whether halal-certified chicken “works” in Germany. It would generate information that is currently unavailable from public sources: the actual sales response, the composition of that response, the operating cost of conversion, and the degree to which the effect varies across locations.

8 Limitations

The analysis is subject to several limitations that should be kept in mind when interpreting the results.

The most important is that the profitability calculations rely on network-level information rather than restaurant-level operating data. KFC Germany publishes total sales and the number of restaurants, but not the turnover of individual branches. The approximately EUR 1.98 million figure used in the model is therefore a sales-per-listed-restaurant scaling benchmark derived from the 2025 network figures, not an estimate of actual annual sales at any shortlisted location.

Restaurant performance is unlikely to be uniform across the network. A branch at Cologne Central Station may face very different customer traffic, opening patterns, delivery activity, and competitive conditions from a suburban restaurant. The break-even threshold should consequently be understood as a benchmark. For a high-volume restaurant, the same fixed halal-related cost would require a smaller percentage sales increase to break even; for a lower-volume restaurant, it would require a larger increase.

A second limitation concerns the cost of halal conversion. No public source identified in this analysis provides the complete incremental cost that KFC Germany would face when converting an individual restaurant. Certification fees represent only one possible component. Procurement, logistics, supplier arrangements, product segregation, training, auditing, menu composition, and waste could also affect the final cost. The EUR 10,000, EUR 25,000, and EUR 50,000 values used in the sensitivity analysis are therefore scenarios rather than estimates of KFC’s actual expenditure.

The same applies to the incremental contribution margin. The 30%, 40%, and 50% margins used in the model are not disclosed KFC margins. Their purpose is to demonstrate how the break-even threshold changes under different assumptions. The baseline result of approximately 3.16% is conditional on the assumed EUR 25,000 annual cost and 40% incremental contribution margin.

The demographic evidence also varies in quality across locations. Bonn provides a recent estimate at statistical-district level, while Bielefeld and Cologne rely on city-level estimates and Essen uses an indirect origin-based measure. These figures are useful for identifying plausible pilot markets, but they should not be interpreted as directly comparable measures of the probability that an individual consumer will purchase from KFC.

More generally, the geographic unit used in official statistics does not necessarily coincide with a restaurant’s true customer catchment. Customers may travel from other neighbourhoods, commute through a station location, order through delivery platforms from outside the immediate district, or choose between several KFC restaurants within the same city. The local Muslim population surrounding a restaurant is therefore only one determinant of potential demand.

There is also a distinction between Muslim population and halal-sensitive demand. The BAMF evidence indicates that religious food and drink rules matter for a large share of Muslim respondents (Pfundel et al. 2021), but it does not imply that all Muslim consumers require halal certification, consume fast food, or would switch to KFC following a change in the menu. Conversely, halal availability could also affect demand among non-Muslim consumers.

Finally, the Dutch KFC experience cannot be used to infer a German treatment effect. Collins Foods has reported a significant positive impact following the introduction of halal-certified products at selected restaurants in the Netherlands (Collins Foods Limited 2026), but no numerical effect size, restaurant-level data, or complete cost information has been disclosed. Differences in market structure, consumer composition, competition, restaurant format, and implementation could all affect the result in Germany.

These limitations are precisely why the report favours a controlled pilot over a nationwide rollout. The current evidence is sufficient to identify plausible pilot locations and economically meaningful break-even thresholds, but it is not sufficient to determine the true causal effect of halal conversion on sales or profit.

9 Recommendation and Conclusion

The analysis does not support an immediate nationwide introduction of halal-certified chicken across KFC Germany. The public evidence is not strong enough to establish the actual sales response, restaurant-level conversion cost, or incremental contribution margin with sufficient precision. It does, however, support a more limited conclusion: there is a credible case for testing halal-certified chicken in selected NRW restaurants under a controlled pilot.

The demographic screening identified Essen, Bielefeld, Cologne, and Bonn as the strongest candidate markets within the available data. Together, these cities contain eight KFC restaurants that form a practical candidate pool. The shortlist should not be interpreted as a ranking in which every selected restaurant is automatically superior to every excluded restaurant. Instead, these locations combine demographic relevance with comparatively useful public evidence.

The four markets also offer different advantages. Bonn provides the strongest geographic match between the restaurant and the available Muslim-population estimate. Bielefeld combines a relatively high estimated Muslim share with two KFC restaurants. Cologne offers the largest absolute Muslim population estimate in the shortlist and four KFC locations, providing flexibility in treatment and comparison design. Essen has the highest estimated Muslim share among the four candidate markets, although the underlying measure is less direct.

The economic analysis suggests that the commercial hurdle may be meaningful without necessarily being prohibitive. Using KFC Germany’s 2025 reported network sales and restaurant count as a scaling benchmark gives approximately EUR 1.98 million in sales per listed restaurant. Under the illustrative middle scenario of EUR 25,000 in additional annual halal-related cost and a 40% incremental contribution margin, the required sales uplift is approximately 3.16%.

This figure is the central quantitative result of the business case, but it is not a forecast. It is a conditional decision threshold. If a pilot generates a persistent incremental sales increase materially above approximately 3.2%, and if the assumed cost and margin structure is close to the true operating economics, the conversion would be expected to produce a positive incremental

result within the model. If the effect remains below that threshold, the business case would weaken.

The recommended strategy is therefore a staged pilot rather than a full rollout. KFC could select a small number of treatment restaurants from the eight-location candidate pool and compare their performance with similar untreated restaurants over the same period. Restaurant sales should be the primary outcome, supported by transaction counts, average transaction value, delivery activity, product mix, waste, and the actual incremental cost of halal operations.

A well-designed pilot would also allow KFC to distinguish between a temporary launch effect and a sustained change in demand. An initial increase driven by publicity or curiosity would not provide the same business case as a persistent rise in transactions and sales. The evaluation should therefore examine whether the effect remains after the initial introduction period.

The decision following the pilot should depend on both commercial performance and operational feasibility. A strong and persistent sales response combined with manageable procurement and certification costs would support expansion to additional restaurants with similar characteristics. A weak response would support maintaining the existing offer or limiting halal-certified products to a smaller number of locations. If results differ substantially across restaurants, a selective location-based strategy may be more appropriate than a uniform national policy.

The broader conclusion is that the halal opportunity for KFC Germany should be treated as a testable commercial hypothesis rather than as an assumption about consumer behaviour. Germany has a substantial Muslim population, NRW contains a particularly large share of the population covered by the BAMF estimate, and KFC's European operations show that halal-certified service can be implemented within the wider restaurant network. What remains unknown is whether the incremental demand in Germany would be large enough to justify the incremental cost.

The next step is therefore clear: test the proposition in selected locations, measure the incremental effect carefully, observe the actual cost of implementation, and allow restaurant-level economics to determine whether further expansion is justified.

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